One of the reasons I was chosen to start First National City Bank's high yield bond operation in 1978 was my immediately prior experience as the bank's director of research for equities. All I had to do, then, was apply the future-oriented process for analyzing common stocks to the universe of bonds rated below triple-B. Few walls still stand in the investment world today, and it is widely understood that forward-looking analysis can be profitably applied to instruments of all sorts. That lesson remained to be learned in 1940.

COMMON SENSE

Much of the value of *Security Analysis* lies not in its specific instructions, but in its common sense. Several of its lessons have specific relevance to the present. More important, Graham and Dodd's insight and thought process show how investors should try to dig beneath customary, superficial answers to investment questions.

> "Security prices and yields are not determined by any exact mathematical calculation of the expected risk, but they depend rather upon the popularity of the issue." (Chap. 7) [Markets are not clinically efficient.]

> "It may be pointed out further that the supposed actuarial computation of investment risks is out of the question theoretically as well as in practice. There are no experience tables available by which the expected "mortality" of various types of issues can be determined. Even if such tables were prepared, based on long and exhaustive studies of past records, it is doubtful whether they would have any real utility for the future. In life insurance, the relation between age and mortality rate is well defined and changes only gradually. The same is true, to a much lesser extent, of the relation between the various types of structures and the fire hazard attaching to them. But the relation between different types of investments and the risk of loss is entirely too indefinite, and too variable with changing conditions, to permit of sound mathematical formulation. This is particularly true because investment losses are not distributed fairly evenly in